

**“There will always be a conflict between economic growth and environmental protection.” Do you agree?**

### **Key Words**

*‘Economic growth’*

- Entails an increase in a country’s productive capacity as well as the market value of the goods and services it provides.

*‘Environmental protection’*

- The practice of protecting our natural environment for its own sake/our own benefit/for future generations. This generally entails placing restrictions on activities that will lead to environmental degradation, or matters relating to climate change, air/water/land pollution, loss of biodiversity, waste production, depletion of resources, etc.

*‘Will always’*

- Absolute term. The word ‘will’ also connotes that this is true not only of the present but also of the future.

### **Stand**

While there certainly exists a tension between economic growth and environmental protection, it is not necessarily the case that they are mutually exclusive. In some cases, there can be a happy marriage of both economic and environmental priorities.

### **Possible Approach**

**A) Explain why some may perceive there will be an inevitable conflict between economic growth and environmental protection.**

- a. [Competing priorities; diversion of resources towards economic growth] There is a fundamental incompatibility between the purposes of environmental protection and that of economic growth. One is about the extraction of resources; the other, their conservation.

*Indeed, the rapid industrialisation and increasing international economic competition of countries around the world has led them to prioritise economic growth over environmental protection, especially when environmental protection could make their businesses less competitive and put a dent in their production capacity. This is especially true of developing countries, who, given a lack of resources and more sustainable technological infrastructure, tend to continue policies that are neither environmentally friendly nor sustainable in the long run.*

E.g. Focusing on environmental needs would make products more expensive for the consumers and businesses less competitive. Green technology and environmentally friendly products are currently more costly than traditional non-environmentally friendly production methods and products. According to the U.S. Energy Information Administration, in 2010, the average cost of solar power is almost four times as much as traditional coal burning electric generation. In the UK, the average cost for each unit of green electricity is £66.97 per megawatt hour in 2012-13, a rise from £54.26 the year before.

Countries have shown reservations about going green, as it would mean the passing of strict environmental laws that would put a dent on production capacity and consequently, economic growth. The United States cited economic reasons for their refusal to ratify the 1997 Kyoto Protocol. The 2009 Copenhagen Accord managed to rope in the major players like the United States and China. However, the Accord is not legally binding; thus, nation-states are still able to cite national interest when the conditions of specific initiatives are not favourable to their economic and political objectives.

Most developing countries, especially those in sub-Saharan Africa, depend mainly on natural resources for revenue and foreign exchange. These economies are driven by the exploitation of natural resources such as coal, oil and gas, agricultural and forest resources, gold, copper, etc. The livelihood of the masses depends on these resources even though the exploitation of these resources results in environmental degradation.

- b. **[Ineffectiveness of alternatives]** Even when countries intend to strike a balance between the two, environmentally-friendly manufacturing methods are not necessarily energy/cost efficient enough to sustain the production capacity expected of existing economies.

E.g. Even though renewable or clean energy options are available, it is still inadequate in generating the amount of energy needed to support the current rate of energy consumption. The global supply of renewables will grow by 35 gigawatts from 2021 to 2022, but global power demand growth will go up by 100 gigawatts over the same period. That shortfall will only widen as economies reopen and travel resumes, with demand already spiking to pre-pandemic levels. Countries will still have to tap on traditional fuel sources (which emit carbon and worsen climate change) to meet the rest of the demand in order to continue powering the economy. Economic growth is hence fundamentally ecologically unsustainable.

**B) Explain why environmental protection and economic growth are not necessarily mutually exclusive and can in fact align.**

- a. **[Growing presence of a global sustainability trend]** Business and environmental interests have become increasingly intertwined today, with more consumers than ever becoming environmentally-conscious and desiring to buy sustainable and eco-friendly products. Socially responsible corporations are now able to derive profits off the growing consumer demand for sustainable methods of production.

E.g. Grupo Exito, a Colombian food retailer, is incentivising cattle farmers to reforest recently cleared land. The company uses satellite surveillance and audits to verify that cattle farmers are making progress in planting trees and adhering to other environmental and social equity standards. Those that comply are then paid a premium by consumer companies for their meat and earn a 'sustainable meat' seal, for which shoppers are then willing to pay extra, according to CEO Carlos Mario Giraldo.

Companies are working on sustainable packaging, too. A.S. Watson Group, an international health and beauty retailer, has been a recycling pioneer. The company eliminated microplastics in its cosmetics and personal care products in 2014 and was the first to use recycled plastic in its bottled water business in Hong Kong. It also introduced the first reverse vending machine to collect used plastic bottles in the city, and this year it is launching aluminum bottles that are 100% reusable and recyclable.

Alibaba Group is trying to address packaging waste by installing pickup stations across China where consumers can get their goods. Customers are encouraged to open their parcels on-site and leave the packaging there, or drop unwanted shipping boxes at one of thousands of recycling stations. And the Coca-Cola Company has a "World Without Waste" initiative, which aims to make its packaging 100% recyclable by 2025, collect and recycle a bottle or can for each one sold, and use 50% recycled material in its bottles and cans by 2030.

**Green Technology will create many new jobs and build new industries while reducing our impact on the earth.** Nations are racing each other to make carbon neutral pledges and also competing to lead in the green technology industries. Take the electric vehicle (EV) industry as an example. Tesla succeeded not only because it offered an EV at an affordable price point. Its self-driving vehicle has spurred innovations in traffic mapping, sensing using radar and cameras, and efficient route planning using data and AI. A whole value chain of jobs and industry is growing to

support national targets for EV use – new battery designs, electric trucks and vehicles and charging stations

- b. **[Rebuttal to earlier argument about the ineffectiveness of sustainable alternatives]** Governments are also increasingly encouraging sustainable development through regulations and incentives which, when implemented properly, can help to drive remarkable innovation in the push for environmental sustainability. Such innovations can help economies to transcend the reliance on less environmentally-friendly methods/resources of production.

E.g. The Singapore government recently unveiled the Singapore Green Plan 2030, a nationwide movement to advance Singapore's national agenda on sustainable development. Incentives are provided to promote the development and deployment of technologies in solar power, electric vehicles, and many aspects of green finance. A whopping budget of S\$25 billion is budgeted so as to entice industry players to establish research and development activities in Singapore to develop new sustainability solutions in areas such as carbon capture, utilisation and storage; low-carbon hydrogen; energy efficient materials; and solutions for the circular economy, amongst others.

- c. **[Aligning of goals in the long run]** If environmentally-unfriendly methods of production/systems were to persist, it could actually end up significantly affecting the economic health of a country e.g. extreme weather events, climate disruption, rising sea levels, pandemics, etc. It would therefore be in the best interests of countries to invest in environmental protections now.

**Economic goals and environment costs are becoming more aligned as the price of renewables has plummeted.** 80% of all new energy capacity now comes from two renewable sources - solar and wind as prices of wind turbines and solar panels have plummeted. Wealthy investment funds like Temasek, development banks like Asia Development Bank (ADB) and financial institutions are ditching financing thermal coal plants not because of pressure from activist investors, but simply because renewable energy projects are now profitable and makes economic sense.

E.g. According to the International Monetary Fund, the damage from the 2011 floods in Thailand, for example, amounted to around 10 percent of Thailand's GDP—and

that's not even considering all the indirect costs through a loss in economic activity in the country and abroad. Similarly, the total costs of the 2018 Californian wildfires were estimated to reach up to US\$350 billion, or 1.7% of U.S. GDP. Over the past decade, direct damages of such ecological disasters are estimated to add up to around US\$ 1.3 trillion (or around 0.2% of world GDP on average, per year).